Lakeshore Solutions Corp. (TOUN) - Form 10-K FY2023

Lakeshore Solutions Corp.

Form 10-K for the Fiscal Year Ended 2023

Ticker: TOUN | **Sector:** Industrials | **HQ:** Rhode Island

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Lakeshore Solutions Corp. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

Item 1. Business

Introduction

Lakeshore Solutions Corp. (“Lakeshore,” “we,” “our,” or “us”) is an aerospace and defense company headquartered in Rhode Island. We design, manufacture, and support aircraft, aircraft systems, and defense products for government and commercial customers, including the U.S. government and international defense and commercial aviation customers. For the fiscal year ended December 31, 2023, we generated revenue of $17,211.6 million.

Our Business

We operate across aerospace and defense product lines that include fixed-wing and rotary aircraft, aircraft and vehicle systems, and related aftermarket support and services. A substantial portion of our revenue is derived from contracts with the U.S. government and its agencies, supplemented by sales to commercial aviation and international defense customers.

Government Contracts

Our government contracts are generally subject to standard terms allowing for termination for convenience, audit, and renegotiation, and our backlog depends on future government budget authorizations and appropriations. We believe our long-standing program relationships and technical capabilities position us well within our markets, though government contracting involves risks discussed further in Item 1A, “Risk Factors.”

Human Capital Resources

We employ a workforce of engineering, manufacturing, and program-management personnel, a portion of which require government security clearances to perform contract work. We invest in technical training and development to support the specialized skills our programs require, and we believe our relationships with our employees are good.

Competition

The aerospace and defense industry is highly competitive and is characterized by a small number of large prime contractors and a broader base of specialized suppliers. We compete on the basis of technical capability, program performance, cost, and past performance on similar programs.

Item 1A. Risk Factors

Risks Related to Government Contracting

A substantial portion of our revenue depends on U.S. government budgets and appropriations, which are subject to political and fiscal uncertainty. Reductions in defense spending, delays in the budget or appropriations process, or changes in defense priorities could reduce demand for our products or delay or terminate programs on which we rely.

Our government contracts can generally be terminated for the government's convenience, and are subject to audit and renegotiation of profits. A termination for convenience, an unfavorable audit finding, or a failure to perform on a key program could adversely affect our revenue, profitability, and reputation with current and prospective customers.

Risks Related to Our Operations

Our programs often involve complex engineering, manufacturing, and supply chain execution over multi-year periods. Design, manufacturing, or supply chain difficulties could result in cost overruns, schedule delays, or contract penalties, any of which could adversely affect our results of operations.

Risks Related to Competition

The aerospace and defense industry is highly competitive, with a small number of large prime contractors and a broader base of specialized suppliers. Our inability to win new programs or retain existing ones against this competition could adversely affect our revenue and growth.

Risks Related to Cybersecurity and Information Technology

Our business, including information related to government and defense programs, depends on the security of our information technology systems. As described in Item 1C, "Cybersecurity," during fiscal 2023 we identified a contained phishing-related account compromise affecting a limited number of employee accounts. We do not believe this incident has had a material effect on our business, but future incidents, particularly ones targeting government or defense program information, could be more severe and could result in remediation costs, contract impacts, litigation, or reputational harm.

Risks Related to Our Financial Position

While we do not carry significant funded indebtedness, our ability to fund working capital, capital expenditures, and shareholder distributions, including the share repurchases and dividends described in Item 7, depends on our continued ability to generate cash flow from operations.

General Risk Factors

Our quarterly and annual operating results may fluctuate based on the timing of program milestones, deliveries, and government funding actions, which could cause variability in our reported results from period to period.

Item 1C. Cybersecurity

Cybersecurity Program

We maintain a cybersecurity program informed by the NIST Cybersecurity Framework and ISO/IEC 27001 that is designed to identify, assess, and manage risks from cybersecurity threats to our information systems, including information related to our government and defense programs. Given the nature of our business, our program is also designed with reference to applicable U.S. government cybersecurity requirements for defense contractors.

Our program includes continuous monitoring of our information technology environment, periodic risk assessments, vulnerability scanning and penetration testing, employee security-awareness training, and a formal incident response plan that establishes procedures for identifying, escalating, containing, and remediating cybersecurity incidents. We also assess the cybersecurity practices of third-party suppliers and service providers that have access to our systems or data.

Cybersecurity Incidents

During fiscal 2023, we identified a contained phishing-related account compromise affecting a limited number of employee accounts. We detected and contained the incident, and we do not believe it has had a material effect on our business strategy, results of operations, or financial condition, although we cannot provide assurance that future incidents will not be more severe. See Item 1A, “Risk Factors,” for additional discussion of cybersecurity-related risks.

Governance

Our Board of Directors has established a dedicated Technology and Cybersecurity Committee responsible for overseeing our cybersecurity risk management program. Management provides the committee with regular updates on our cybersecurity program, including the results of risk assessments, the status of our incident response capabilities, and material cybersecurity incidents, such as the phishing-related incident described above. The committee in turn reports to the full Board on matters it believes warrant the Board’s attention.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Lakeshore Solutions Corp. is an aerospace and defense company. For the fiscal year ended December 31, 2023, we generated revenue of $17,211.6 million, pretax income of $1,527.6 million, and net income of $1,206.8 million (a net margin of 7.0%).

Results of Operations

The following table summarizes our results of operations for the fiscal year ended December 31, 2023 (in millions, except percentages; amounts may not sum due to rounding):

Line item	Amount	% of total
Revenue	$17,211.6	100.0%
Selling, general and administrative expenses	1,492.7	8.7%
Research and development expenses	753.9	4.4%
Other operating costs, net	13,437.4	78.1%
Income before income taxes	1,527.6	8.9%
Income tax expense	320.8	1.9%
Net income	1,206.8	7.0%

Our cost structure reflects the program-based nature of our business; the substantial majority of our costs relate to materials, labor, and overhead incurred directly on customer programs, which are not broken out separately from other operating costs above. Our effective tax rate for the year was 21.0%, consistent with the U.S. federal statutory rate.

Liquidity and Capital Resources

We generated $1,388.3 million of cash from operating activities during 2023, reflecting net income of $1,206.8 million and depreciation and amortization of $467.1 million, partly offset by changes in working capital. We used $393.8 million of cash in investing activities. Financing activities used $1,175.6 million of cash, primarily reflecting $1,580.2 million used for share repurchases and $19.0 million of dividends paid, partly offset by other financing inflows. Taken together, our cash and cash equivalents decreased by $181.1 million during the year.

As of December 31, 2023, we had no outstanding short-term or long-term debt and stockholders' equity of $10,394.3 million. We believe our cash flow from operations will be sufficient to fund our operating needs, capital expenditures, and shareholder distributions for at least the next twelve months.

Critical Accounting Estimates

Revenue Recognition on Long-Term Contracts. A substantial portion of our revenue is recognized over time as we perform under long-term government and commercial contracts. Measuring progress toward completion, and estimating total costs to

complete a program, requires significant judgment; changes in these estimates could materially affect revenue and profitability in the period of change.

Inventory. Inventory, which represented approximately 23.8% of our total assets as of December 31, 2023, is stated at the lower of cost or net realizable value, including program-specific work in process.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Lakeshore Solutions Corp. for the fiscal year ended December 31, 2023. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

Line item	Amount
Cash and cash equivalents	$2,849.2
Inventory	5,371.8
Property, plant and equipment, net	3,339.0
Intangible assets, net	603.9
Other assets	10,403.6
Total assets	$22,567.5

Liabilities

Line item	Amount
Other liabilities	$12,173.2
Total liabilities	$12,173.2

Stockholders' Equity

Line item	Amount
Additional paid-in capital	$2,330.3
Retained earnings	8,357.3
Accumulated other comprehensive loss	(794.6)
Other equity	501.3
Total stockholders' equity	$10,394.3

Line item	Amount
Total liabilities and stockholders' equity	$22,567.5

Consolidated Statement of Income (in millions)

Line item	Amount
Revenue	$17,211.6
Selling, general and administrative expenses	1,492.7
Research and development expenses	753.9
Other operating costs, net	13,437.4
Interest expense	—
Income before income taxes	1,527.6
Income tax expense	320.8
Net income	$1,206.8

Consolidated Statement of Cash Flows (in millions)

Operating activities:

Line item	Amount
Net income	$1,206.8
Depreciation and amortization	467.1
Changes in working capital and other	(285.6)
Cash from operating activities	1,388.3

Investing activities:

Line item	Amount
Other investing activities	(393.8)
Cash used in investing activities	(393.8)

Financing activities:

Line item	Amount
Dividends paid	(19.0)
Share repurchases	(1,580.2)
Other financing activities	423.7
Cash used in financing activities	(1,175.6)

Line item	Amount
Net decrease in cash	$(181.1)

Notes to Consolidated Financial Statements

Note 1. Inventory Inventory, including program-specific work in process, totaled $5,371.8 million as of December 31, 2023, representing approximately 23.8% of total assets.

Note 2. Income Taxes Our effective tax rate for fiscal 2023 was 21.0%, consistent with the U.S. federal statutory rate.

Note 3. Commitments and Contingencies We are subject to various claims, legal proceedings, and government contract audits arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations.

Note 4. Cybersecurity Matters As described in Item 1C, “Cybersecurity,” during the year we identified and contained a phishing-related account compromise affecting a limited number of employee accounts. The incident did not have a material effect on our consolidated financial statements.